

WJEC CBAC
GCE MARKING SCHEME

Predicted Paper (Moderate)

ECONOMICS – UNIT 3

1520U30-1

About this marking scheme

This marking scheme has been produced in the style of the WJEC A-Level Economics Unit 3 mark schemes. It reflects positive marking principles: credit should be given for what the learner writes, rather than penalising omissions. A very good learner should be able to achieve full marks.

Learners must demonstrate their ability to:

- AO1 — Demonstrate knowledge of terms/concepts and theories/models.
- AO2 — Apply knowledge and understanding to various economic contexts.
- AO3 — Analyse issues within economics, showing an understanding of their impact on economic agents.
- AO4 — Evaluate economic arguments and use qualitative and quantitative evidence to support informed judgements.

GCE A LEVEL ECONOMICS – UNIT 3

PREDICTED PAPER (MODERATE) MARK SCHEME

Question 1 (a) — Internal economies vs internal diseconomies of scale (4 marks)

AO1 – 2 marks

- Award 1 mark for understanding of the difference: economies of scale occur when average/unit costs fall as output rises, whereas diseconomies of scale occur when average/unit costs rise as output rises.
- Award 1 mark for a correctly drawn LRAC curve (U-shaped) with output on the x-axis and costs on the y-axis. Do not accept 'AC' alone.

AO2 – 2 marks

- Award 1 mark for identifying an Amazon internal economy of scale e.g. bulk-buying from suppliers, use of robotic technology reducing unit costs.
- Award 1 mark for identifying an Amazon internal diseconomy of scale e.g. managers struggling to supervise, breakdown in communication, falling worker morale/rising staff turnover.

Question 1 (b) — External economies of scale in Swindon (4 marks)

AO1 – 2 marks

- Award 1 mark for understanding external economies of scale — LRAC falls due to growth of the wider industry/area around the firm, not the firm itself.
- Award 1 mark for a correct diagram showing a downward shift in the LRAC curve (LRAC₁ below LRAC).

AO2 – 2 marks

- Award 1 mark for linking to the data e.g. suppliers and logistics firms setting up in Swindon, council improving road links.
- Award 1 mark for linking to how Amazon's LRAC falls e.g. improved local transport infrastructure reduces delivery times and fuel costs; proximity of suppliers cuts inbound logistics costs.

Question 2 (a)(b)(c) — Monopolistically competitive firm diagram (7 marks)

(a) 1 mark: Candidate correctly identifies output where MC = MR (AO2).

(b) 2 marks: Candidate shades the rectangle bounded by the profit-maximising output, AR at that output, and AC at that output (OFR allowed if output in (a) was wrong).

(c) 4 marks: Long-run adjustment.

- AO1 (1 mark): Low barriers to entry in monopolistic competition allow new firms to enter if abnormal profit exists.
- AO2 (1 mark): Recognises that this firm is currently earning abnormal/supernormal profit which attracts new entrants.
- AO3 (2 marks): New firms entering cause the firm's demand (AR) and MR curves to shift left (and often become more elastic), reducing profit-maximising output. In the long run the firm earns only normal profit (AR = AC) at the new MR = MC output. Answers may illustrate this on the diagram.

Question 3 — Evaluate the privatisation of Royal Mail (8 marks)

Band	AO2 (2)	AO3 (2)	AO4 (4)
3			4 marks — Excellent evaluation, well-rounded judgement weighing up both sides.
2	2 marks — Good use of the data on both sides.	2 marks — Good analysis of why privatisation may or may not have been successful.	2–3 marks — Good balanced evaluation with a well-developed counter-argument.
1	1 mark — Superficial use of the data, or good use on only one side.	1 mark — Limited/superficial analysis.	1 mark — Limited evaluation, counter-argument present but not developed.
0	0 marks — No relevant application.	0 marks — No relevant analysis.	0 marks — No relevant evaluation.

Indicative content (in favour of success):

- Government raised £2bn through the sale and relieved itself of ongoing loss-making operations.
- Private investment enabled modernisation of parcel sorting (parcel automation mentioned in case).
- Royal Mail able to compete with DPD/Amazon in the growing parcel market.
- Employees received shares — wider share ownership.

Indicative content (against success):

- Shares widely viewed as sold too cheaply — share price rose sharply on day one, costing taxpayers.
- Share price has since fallen below the 2013 flotation price — questions about long-run value creation.
- CWU strikes reflect industrial relations breakdown.
- Ofcom fines for missed Universal Service Obligation (USO) delivery targets.
- 2024 takeover by a foreign billionaire raises questions about strategic national infrastructure.
- Principal-agent problem: shareholders prioritise dividends over service quality.

Note – this is a reversible answer (for band 2 marks).

Question 4 — Impact of higher interest rates on UK AD (6 marks)

Band	AO1 (2)	AO2 (2)	AO3 (2)
2	2 marks — Good knowledge of how interest rates affect savers, borrowers and the exchange rate.	2 marks — Good use of the data with specific references (e.g. Bank Rate rising from 0.25% to 5.25%).	2 marks — Good analysis of the impact on specific components of AD.
1	1 mark — Limited knowledge covering savers OR borrowers.	1 mark — At least one reference to the data.	1 mark — Superficial analysis referring only to AD as a

			whole.
0	0 marks — No relevant knowledge.	0 marks — No relevant application.	0 marks — No relevant analysis.

Indicative content:

- C falls: higher cost of borrowing discourages credit-financed consumption (cars, home improvements). UK has relatively high household debt so marginal propensity to be affected is large.
- C falls further through mortgage transmission: roughly a third of households have a mortgage; rising rates reduce disposable income.
- I falls: higher cost of capital raises hurdle rates for business investment.
- G: higher debt service costs squeeze government spending.
- (X–M): higher UK rates attract hot money inflows, sterling appreciates, exports less competitive, imports cheaper — net trade worsens.
- A rise of 500 basis points in 20 months is historically large and transmission lags of 12–18 months mean the full effect was still working through by 2024.

Question 5 (a) — Price index calculation (3 marks)

Weighted calculation method:

$$(19.1 \times 11) + (26.1 \times 27) + (7.2 \times 7) + (4.9 \times 31) + (6.3 \times 18) + (-5.9 \times 6) \text{ all divided by } 100$$

$$= (210.1 + 704.7 + 50.4 + 151.9 + 113.4 - 35.4) / 100 = 1195.1 / 100 = 11.95\%$$

Price index = 111.95 (accept 111.9 – 112.0)

- AO3 (1 mark) for use of weighted index method (regardless of accuracy).
- AO2 (2 marks) for correct answer.
- Award 2 marks in total for 11.95% or 12% without expressing as an index.
- If +5.9 used instead of –5.9, award 2 marks (answer 112.66/112.7).

Question 5 (b) — Assess wage-price spiral in the UK (8 marks)

Band	AO2 (2)	AO3 (2)	AO4 (4)
3			4 marks — Excellent evaluation, judgement weighing both sides.
2	2 marks — Good use of data with references to at least two Figures.	2 marks — Good one-sided analysis of a wage-price spiral with a developed chain of reasoning.	2–3 marks — Good evaluation with a well-developed counter-argument.
1	1 mark — Data referenced only once or on one side.	1 mark — Superficial analysis.	1 mark — Limited evaluation with counter not developed.
0	0	0	0

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Indicative content (in favour of spiral):

- Figure 1 shows CPI reached 9.1% in 2022, well above the 2% target — workers will expect pay rises to protect real incomes.
- Figure 2 shows essential categories (food 19.1%, energy 26.1%, rent 4.9%) rose sharply. Because rent, food and energy together make up 69% of spending weighting, their rises feed strongly into headline CPI.
- Figure 3 shows nominal wages rising (84 in 2019 to 100 in 2023, +19%) — firms may pass these increases into higher prices.
- Tight labour market/high vacancies during 2022–23 gave workers bargaining power.
- Textbook mechanism: higher CPI → pay demands → higher unit labour costs → SRAS shifts left → higher CPI...

Indicative content (against spiral):

- Figure 3 shows real wages fell from 104 (2019) to 100 (2023) — workers have absorbed losses rather than won full compensation, breaking the spiral.
- Bank of England raised rates aggressively to 5.25% to anchor expectations (Figure 1, Q4).
- CPI fell to 2.8% by 2024 (Figure 1), suggesting inflationary psychology did not take hold.
- Inflation was largely cost-push (energy, food import prices) rather than wage-driven — a monetary policy response, not a wage-spiral dynamic.
- Unionisation in the private sector is historically low (~13%), limiting wage bargaining power.

Note – this is a reversible answer.

Section B — UK Cost of Living Crisis

Question 6 (a)(i) — % change in gas price (2 marks)

$(1.10 - 0.25) / 0.25 \times 100 = 85/25 \times 100 = 340\%$ (1 mark for method, 1 mark for correct answer).
Accept 340%.

Question 6 (a)(ii) — Percentage change in total commodity cost (2 marks)

2020 cost: $(500 \times £155) + (100 \times £180) = £77,500 + £18,000 = £95,500$

2023 cost: $(500 \times £230) + (100 \times £560) = £115,000 + £56,000 = £171,000$

% change = $(£171,000 - £95,500) / £95,500 \times 100 = £75,500 / £95,500 \times 100 \approx 79.1\%$

Accept 79% to 79.1%. Award 1 mark for correct method, 1 mark for correct final answer.

Question 6 (b) — Cost & revenue diagram showing higher prices, fewer sales, lower profit (6 marks)

Band	AO1 (4)	AO2 (2)
3	4 marks — Accurate diagram showing higher MC and AC, higher price, lower output, lower abnormal profit.	
2	2–3 marks — Largely accurate diagram with some labelling errors; 3 marks if MC and AC shifted with one labelling error; 2 marks if only one curve shifted correctly with accurate profit area.	2 marks — Data convincingly used as part of answer.
1	1 mark — Weaker diagram with multiple errors, or only MC/AC shifted with no labelling.	1 mark — Data referenced.
0	0 marks — Diagram absent or insufficient.	0 marks — No data reference.

Indicative AO1 content:

- MC and AC shift upwards (MC_2 , AC_2) — 1 mark.
- New accurate lower output at $MR = MC_2$ (Q_2) — 1 mark.
- New accurate higher price (P_2) — 1 mark.
- New accurate lower abnormal profit area — 1 mark.

AO2 — data links:

- Natural gas up 340%, fertiliser prices more than tripled (Table 1).
- Wheat up nearly 50% — raises costs for UK bakeries/pub food.
- UK Bank Rate rising to 5.25% (Figure 2) simultaneously reduces demand — AR shifts left too, worsening profit squeeze.

Question 7 — External vs internal factors in UK crisis (8 marks)

Band	AO2 (2)	AO3 (2)	AO4 (4)
3			4 marks — Well-rounded judgement recognising a mix of both. Top-band answers weigh up both sides.
2	2 marks — Data used well on both sides.	2 marks — Well-developed chains of reasoning on external/internal factors.	2–3 marks — Well-developed counter-arguments.
1	1 mark — Data used superficially or on one side only.	1 mark — Limited chains of reasoning.	1 mark — Limited evaluation.
0	0	0	0

External factors:

- War in Ukraine pushed European gas prices to record highs (gas up 340% in Table 1).
- Global supply chain disruption post-COVID raised import prices.
- Global food commodity inflation driven by weather and fertiliser costs.
- US monetary tightening raised dollar-priced import costs.

Internal factors:

- Brexit-related trade frictions raised import costs and reduced labour supply.
- UK's poor productivity record (under 1% growth since 2008 — Table 2) limits real wage growth.
- Heavy reliance on gas-fired heating (~40% of homes) reflects long-term policy neglect of home insulation.
- Bank of England arguably too slow to raise interest rates in 2021.
- Fiscal response (Energy Price Guarantee, £40bn) partly fuelled demand-side inflation.

This is a reversible answer for Band 2.

Question 8 — Should Bank of England have intervened more aggressively? (10 marks)

Band	AO2 (4)	AO3 (3)	AO4 (3)
3	4 marks — Data embedded throughout on both sides, covering both forms of intervention.	3 marks — Excellent analysis across both proposed interventions (earlier rate rises AND faster QT).	3 marks — Well-rounded judgement referring to both forms of intervention.
2	2–3 marks — Data used well on both sides, may cover only	2 marks — Well-developed analysis but narrow range.	2 marks — Well-developed counter-argument.

	one intervention in depth.		
1	1 mark — Limited use of data.	1 mark — Limited analysis.	1 mark — Limited evaluation.
0	0	0	0

Support more aggressive intervention:

- CPI hit 10.5% in 2022 (Fig. 2), five times the target — earlier tightening could have anchored expectations.
- Real interest rates were deeply negative for much of 2022, effectively stimulating demand during an inflationary shock.
- QT more quickly would have reduced the £895bn balance sheet and tightened financial conditions faster.
- Credibility risk: repeated above-target outcomes damage the Bank's inflation-fighting reputation.

Against more aggressive intervention:

- Inflation was largely cost-push (imported energy and food) — monetary policy cannot directly fix a supply shock.
- Two million fixed-rate mortgages reset in 2023–24; more rapid rises would have caused serious financial distress.
- Over-tightening risked a deep recession and a rise in unemployment.
- By 2024 CPI returned to 2.8% (Fig. 2) — suggesting existing policy worked, if slowly.
- Faster QT could have destabilised the gilt market (recall the 2022 LDI crisis).

Reversible answer. If only one intervention is evaluated, maximum Band 2 (7/10).

Question 9 — Will industrial strategy improve UK living standards? (12 marks)

Band	AO2 (4)	AO3 (3)	AO4 (5)
3	4 marks — Case embedded throughout.	3 marks — Well-developed analysis with clear focus on living standards indicators (Table 2).	5 marks — Well-rounded judgement on whether industrial strategy will improve living standards.
2	2–3 marks — Case well used but uneven.	2 marks — Well-developed analysis with narrower range/less focus on LS.	3–4 marks — Well-developed counter-arguments.
1	1 mark — Superficial case use.	1 mark — Limited analysis.	1–2 marks — Limited evaluation.
0	0	0	0

In favour of improved living standards:

- Investment in nuclear/offshore wind reduces gas import dependence and insulates from future energy shocks (case identifies 40% gas-heating vulnerability).

- Green-transition retraining tackles skills shortages, raises productivity (Table 2 shows UK at 62.5 vs G7 82.1).
- Higher productivity enables real wage growth, raising real disposable income (Fig. 1 shows flatlining since 2019).
- Closer EU trade relations reduce trade frictions → lower import prices, better export markets.
- A clear industrial strategy provides the policy certainty that business investment needs.

Against:

- UK has a poor track record of industrial strategy — previous attempts have been reversed by successive governments.
- Public debt already over 100% of GDP (Table 2) — limited fiscal space for large industrial spending.
- Regional inequality (Gini 0.355) may persist because investment often concentrates in the South East.
- Green-transition costs may raise energy prices in the short run, squeezing real incomes.
- Deeper problems — low R&D spend, planning system rigidities, underinvestment since 2008 — are hard to fix.
- Living standards also depend on public services already weakened by a decade of restraint.

For Band 3 responses there needs to be a clear focus on living standards and how industrial strategy affects LS indicators.

AO Grid

Section A

Question	AO1	AO2	AO3	AO4	Total
1	4	4	–	–	8
2	1	4	2	–	7
3	–	2	2	4	8
4	2	2	2	–	6
5	–	4	3	4	11
Total	7	16	9	8	40

Section B

Question	AO1	AO2	AO3	AO4	Total
6(a)	–	4	–	–	4
6(b)	4	2	–	–	6
7	–	2	2	4	8
8	–	4	3	3	10
9	–	4	3	5	12
Total	4	16	8	12	40